

Table 6.5 (Continued)

Traditional	
Finance Problem	Yield Solution
<i>Limited access:</i> Many investors have limited access to buy or sell sophisticated fixed income investments.	Yield allows all market participants to buy or sell a fixed income asset that settles in a target asset of their choosing.
<i>Inefficiency:</i> Fixed income rates are lower due to layers of fat in traditional finance.	Lean infrastructure running on Ethereum allows for more competitive rates and diverse liquidity pools due to the elimination of middlemen.
<i>Lack of interoperability:</i> Fixed income instruments generally settle in cash that the investor must determine how to allocate.	yTokens can settle in any Ethereum target asset and even settle synthetically into a floating-rate lending protocol to preserve returns.
<i>Opacity:</i> Risk and uncertainty of counterparty in traditional agreements.	Clear collateralization publicly known on Ethereum blockchain backing the investment.

dYdX

dYdX²⁶ specializes in derivatives and margin trading, which currently supports a variety of cryptocurrencies in addition to ETH and BTC. The company has a spot DEX that allows